

## **MICROGATE S.R.L. - QUARTERLY FINANCIAL REPORT (Q3 2025)**

**Department:** Finance Department

**Confidentiality Level:** STRICTLY CONFIDENTIAL (Management Only)

**Subject:** Witty Product Line Performance and Year-End Forecasts

### **1. Executive Summary**

The third quarter of 2025 solidified Microgate's position as a leader in sports timing, based in Bolzano, Italy. Our flagship product, the Witty Wireless Training Timer, was once again the primary revenue driver. Adoption of our wireless technology by high-performance centers exceeded sales expectations by 18% year-over-year.

### **2. Revenue Breakdown by Product**

Gross revenue for the sports division reached €4.2 million this quarter. Sales are distributed across the following categories:

- **Hardware Sales (Complete Kits):** This represents 65% of revenue. The standard package has been very well received commercially because it includes everything the end customer needs: 1 Witty timer, 2 wireless photocells, 2 reflectors, and 4 telescopic tripods.
- **Accessories and Spare Parts:** This represents 15% of revenue. Individual sales of padded carrying backpacks and simultaneous battery chargers are particularly noteworthy.
- **Corporate Software Licenses:** This represents 20% of revenue. Although the basic Witty Manager software is included on a USB drive with the kit, enterprise licenses for Windows OS (XP/Vista/7/8) have generated significant recurring revenue.

### **3. Operating Costs and Logistics**

The cost of goods sold (COGS) has remained stable. However, we have observed a slight increase of 4% in packaging costs due to the inclusion of printed manuals (Quick Start Guide) in each box.

On the other hand, technical support costs have decreased thanks to improvements in the stopwatch's user interface, specifically in navigation using the four arrow keys on the keypad and the central <OK> button for confirming actions. Issues related to photocell alignment have also been drastically reduced, as the system emits a continuous beep until correct alignment with the reflector is achieved.

#### **4. R&D Forecast and Strategy**

For next year, the R&D budget will allocate €1.5 million to improving device autonomy. Currently, the photocell status LED flashes orange when the battery level is low. The technical objective is to implement next-generation lithium batteries that will increase autonomy by 40%, thus reducing the frequency of recharging via the supplied USB cables.